The second guideline is that PITI plus all your other long-term debt shouldn't exceed 36 percent of your gross income. Your long-term debt (car loans, credit cards you won't have paid off within the next ten months, furniture or equipment loans, student loans, child support and alimony, and so on) shouldn't exceed 8 percent of your income (36 percent–28 percent for PITI = 8 percent for other debt). Again, using the example of $50,000 in gross income, your monthly payments toward long-term debt other than your PITI shouldn't exceed $333 per month ($50,000 × 8 percent = $4,000 ÷ 12 months = $333 per month). If your debt payments are more than this, you'll need to come up with a larger down payment so you don't have to borrow as much.

ESSENTIAL

If you make a small down payment, your lender may only use the lower percentages for PITI and long-term debt to protect itself against the possibility that you might default on your loan. However, there's a growing trend for lenders to automatically use the 28 percent guideline for PITI.

Check the Mortgage Calculator

Play around with an online mortgage calculator that will help you determine how much you can afford to pay for a house. Moving.com (*www.moving.com*) has an excellent calculator for this under "Tools & Resources." There are also several helpful calculators related to the home-buying process at Mortgage101.com (*www.mortgage101.com*) under "Calculators."

Getting Preapproved or Prequalified

It's a good idea to apply for your mortgage early in the process instead of waiting until you find a house you like. Prequalification means the lender